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Markets at a tipping point: Selling climax or further breakdown

Investment Strategy

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Market: Down to a "brink" level

We believe the market is at a crossroads between a selling climax and a further breakdown. A spike in CoreWeave's credit default swaps (CDS) triggered the selloff and revived concerns about the profitability of data center (DC) investment. While credit concerns have yet to become widespread, the market correction appears to have entered a new phase.

That said, some of these concerns have clearly gone too far. The first key to ending the turmoil is strong earnings from AI stocks that dispel excessive concerns. The second is a retreat in expectations of Fed rate hikes. Regarding the latter, with no prospect of early recovery of DC investment, a decline in funding costs is vital for improving the certainty of sustained investment. US economic data show a seasonal pattern of strengthening from summer to early autumn and weakening toward year-end. Although we lack strong conviction, our attention is on whether this pattern repeats itself this year and excessive rate-hike expectations are unwound.

US midterm elections: Avoid overestimating the impact

The US midterm elections are also drawing strong attention. Considering their impact, we believe the most benign scenario for the market is one in which the Democrats win control of only the House of Representatives. That said, we recommend avoid overestimating the impact of the elections. As the presidency is not at stake, we do not expect major changes in government policy. A Democratic victory would likely lead to more DC investment regulation, but we see no need for excessive concern. Democrat-led regulation of DC investment would slow investment momentum, but we find it difficult to envision it completely reversing the direction of investment.

Stock selection: A quality bias is essential

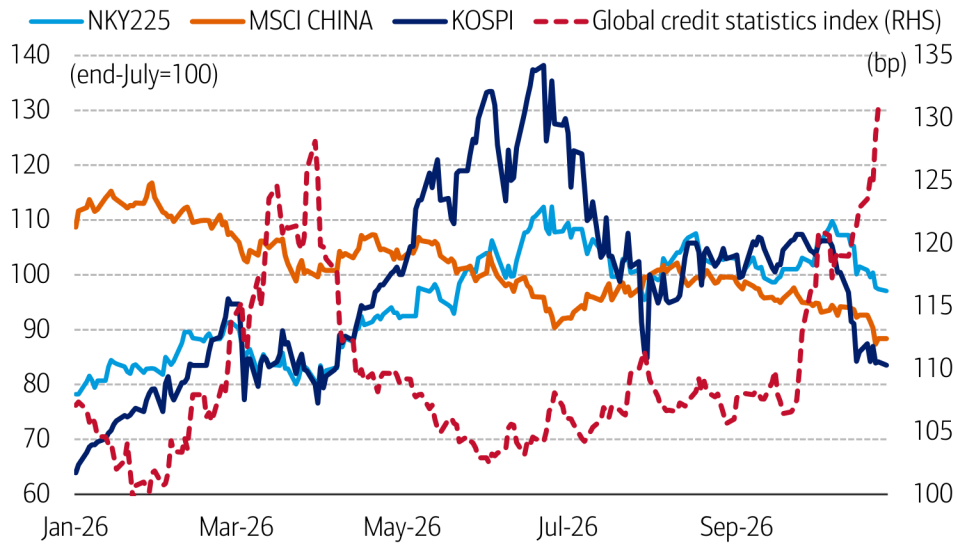
For stock selection, a quality bias is essential as long as credit concerns persist. Non-financial domestic demand sectors are also likely to outperform. Meanwhile, if US economic data softens and the market's excessive pricing-in of Fed rate hikes unwinds, we expect the US yield curve to steepen (perhaps temporarily). In that case, opportunities could also emerge for high-beta AI stocks and value bank stocks. That said, we believe individual stock selection remains necessary.

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Market at a crossroads: Selling climax or further breakdown

The correction in AI stocks had previously been confined to the equity market, but turmoil has now spread to the credit market. Starting with a spike in CoreWeave's CDS, multiple concerns have surfaced. Doubts about the sustainability of data center (DC) investment have resurfaced. The turmoil spread globally (Exhibit 1), and AI stocks in China and Korea suffered heavy selling.

Exhibit 1: Credit spread surgy globally
Nikkei 225, MSCI Japan, KOSPI, and Global credit statistics index



Source: Bloomberg, BofA Global Research

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We believe a market rebound from November remains possible if the following conditions align: (1) a retreat in expectations of Fed rate hikes due to slowing US economic data, (2) the passing of the US midterm elections and (3) strong 2Q results. Selling has been concentrated in AI-related and bank stocks, suggesting that credit concerns have yet to become broad-based (for example, credit-sensitive real estate stocks have risen). For now, the correction appears to largely reflect the unwinding of concentrated AI positions. That said, the market correction does appear to have entered a new phase. We believe the market is at a crossroads between a selling climax and a further breakdown.

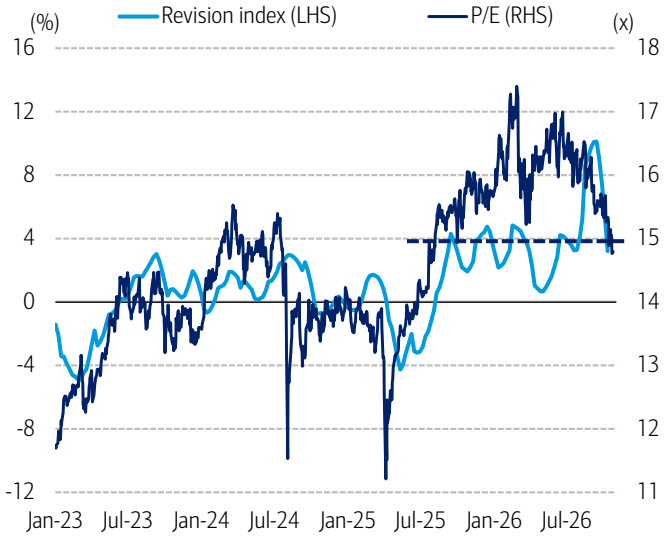
Market down to a "brink" level

Here, we summarize the current situation. The market has fallen to a "brink" level. The P/E range shifted upward from 2H 2025, when ROE improvement accelerated, but P/E has recently been pushed back to the lower end of the range (Exhibit 2). The seasonal slowdown in earnings estimate revisions has likely run its course, and under normal circumstances P/E could reasonably bottom out (Exhibit 3). However, if P/E fails to find a bottom at this stage, the range could shift downward.

The NT ratio has also fallen to its 200-day moving average, a level it had not breached since 2H 2025. The beta factor has given up all of its year-to-date returns (Exhibit 4, Exhibit 5). Classifying stocks by beta and measuring the return dispersion (standard deviation), we find that dispersion widened to levels seen at the 2003, 2013 and 2021 peaks before beginning to narrow. Compared with those years, return dispersion is approaching its bottom (Exhibit 6, Exhibit 7).

In light of the above, risk reduction appears to have reached its climax. Conversely, if selling does not subside here, the situation is probably more serious than we currently think.

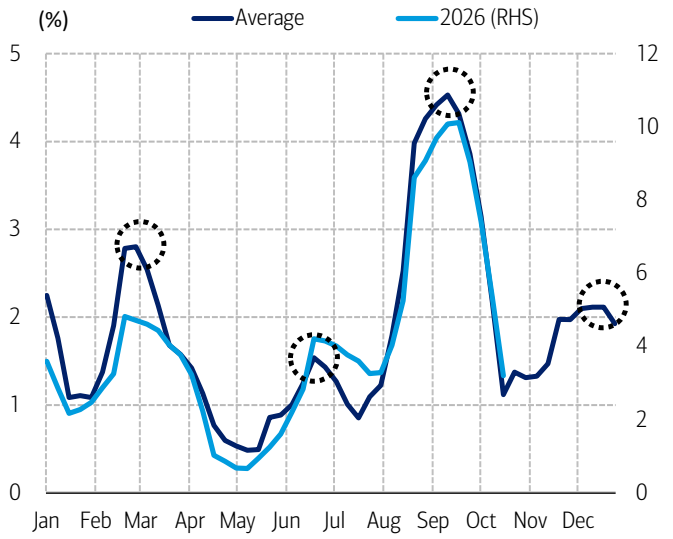
Exhibit 2: P/E falls to the lower end of its range since 2H25
TOPIX revision index and 12-month forward P/E



Source: BofA Global Research, LSEG
Note: The revision is based on I/B/E/S consensus estimate for 12-month forward EPS (4-weeks moving average).

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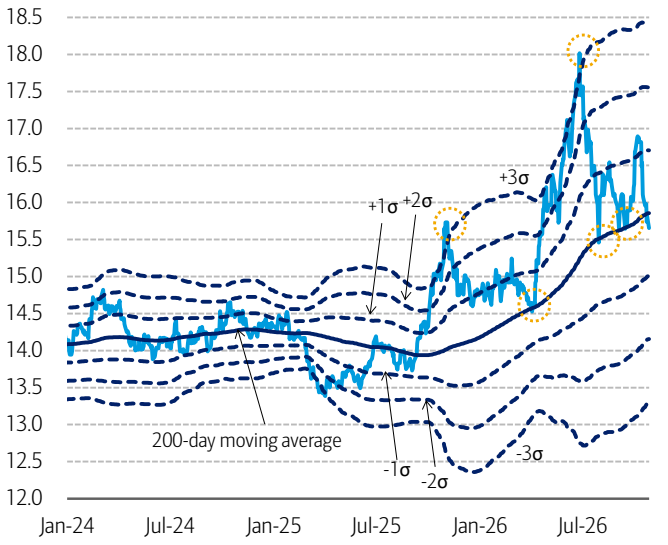
Exhibit 3: Revision index likely nearing a bottom
Revision index: earnings recovery cycles vs. 2026 (TOPIX)



Source: BofA Global Research, LSEG
Note: Average of revisions in years since 2017, excluding years (2018, 2019) when revisions were negative and the pandemic year of 2020, compared with 2025. 4-weeks moving average

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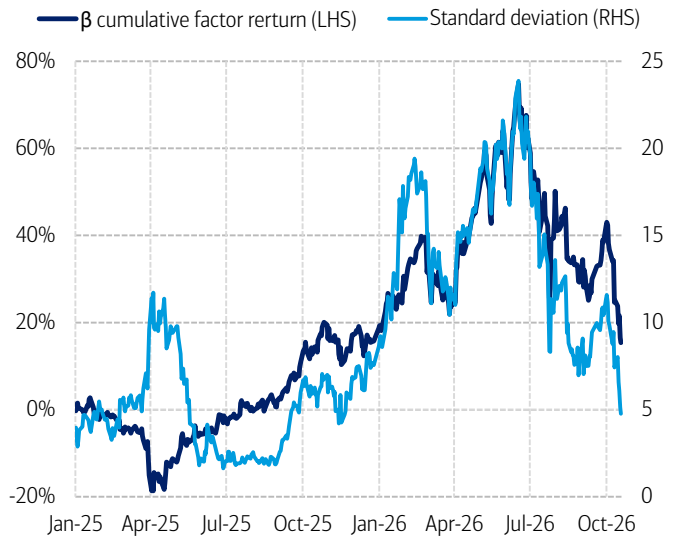
Exhibit 4: N/T ratio falls to its 200-day moving average
N/T ratio



Source: BofA Global Research, Bloomberg

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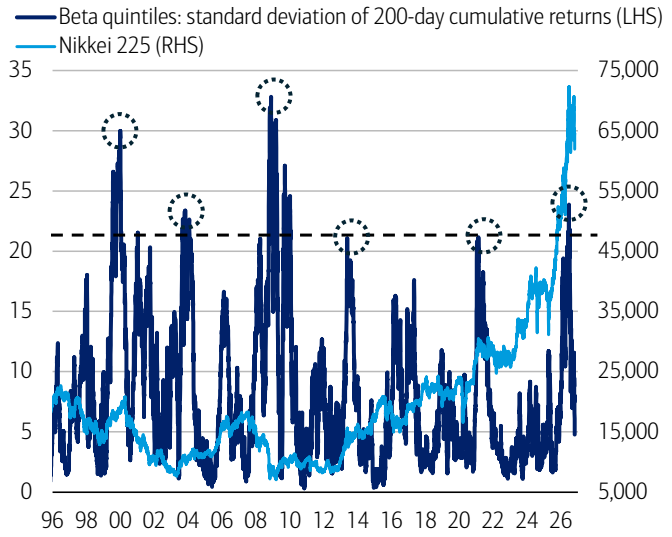
Exhibit 5: Beta factor has given back its YTD gains
Beta factor return and standard deviation of 200-day returns by beta quintile



Source: BofA Global Research, QUICK, Bloomberg
Note: See Exhibit 6 for the definition of standard deviation

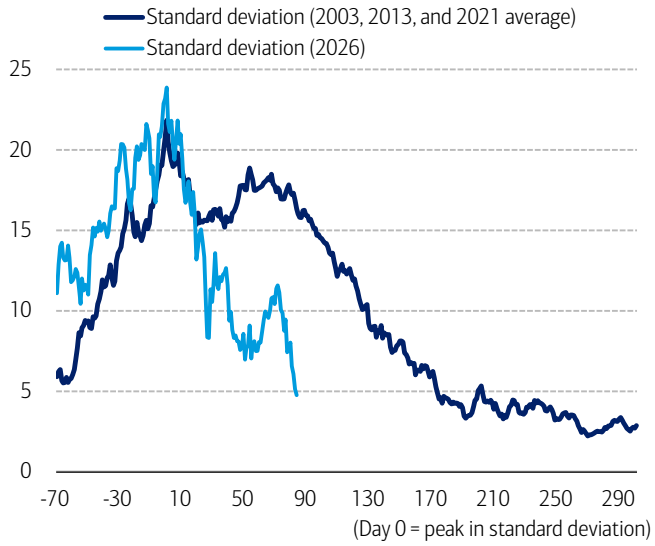
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Exhibit 6: Return dispersion narrows sharply
Beta quintiles: standard deviation of 200-day cumulative returns, and Nikkei 225



Source: BofA Global Research, QUICK
Note: Using TOPIX 500 as the universe, stocks were divided into quintiles based on beta, and the standard deviation of 200-day cumulative returns was calculated for each quintile
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Exhibit 7: Return dispersion nears historical lows
Beta factor: Average of the 2003, 2013, and 2021 standard deviation peak-out episodes vs. current episode



Source: BofA Global Research, QUICK, Bloomberg
Note: Beta factor returns around the standard deviation peaks in 2003, 2013 and 2021 were averaged and compared with the current period. See Exhibit 6 for the definition of standard deviation.
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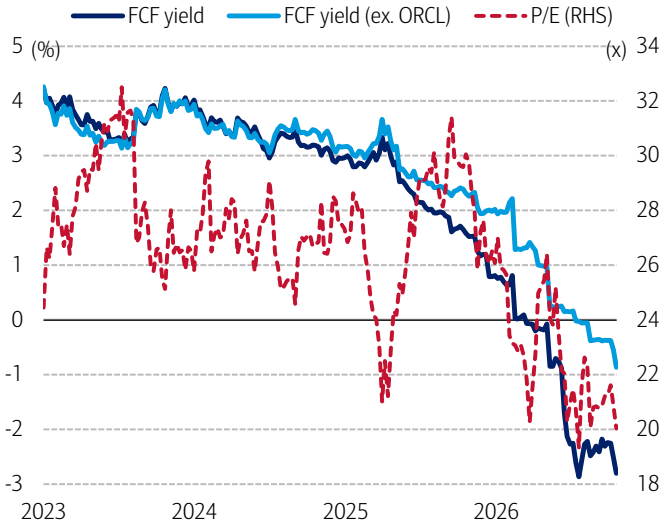
Doubts about DC investment profitability resurface

Why did selling accelerate? As we noted above, a spike in CoreWeave's CDS triggered the selloff. Since then, concerns about the sustainability and profitability of DC investment have resurfaced. While concerns about the recoverability of massive DC investment linger, inflationary pressure has emerged and funding costs have risen. Stronger deflationary pressure on AI token prices due to the entry of Chinese players is another headwind.

That said, some of these concerns are clearly overdone. Neoclouds, which sparked the turmoil, are not core to the investment cycle and are better regarded as peripheral, in our opinion. For hyperscalers, free cash flow has indeed turned negative and the ROIC-WACC spread is narrowing. However, the spread does not appear to have reached a dangerous level (Exhibit 8, Exhibit 9). Sentiment could still change course with the right catalyst.

What, then, is key to ending the turmoil? The first key is strong earnings from AI stocks that dispel overblown concerns. The second key is a retreat in expectations of Fed rate hikes. Regarding the latter, with no prospect of early recovery of DC investment, a decline in funding costs is vital for improving the certainty of sustained investment. The deterioration in US high-yield CDS spreads was also directly triggered by a wider liquidity premium amid higher US Treasury volatility (Exhibit 11). We believe the near-term focus is whether the pricing-in of Fed rate hikes recedes.

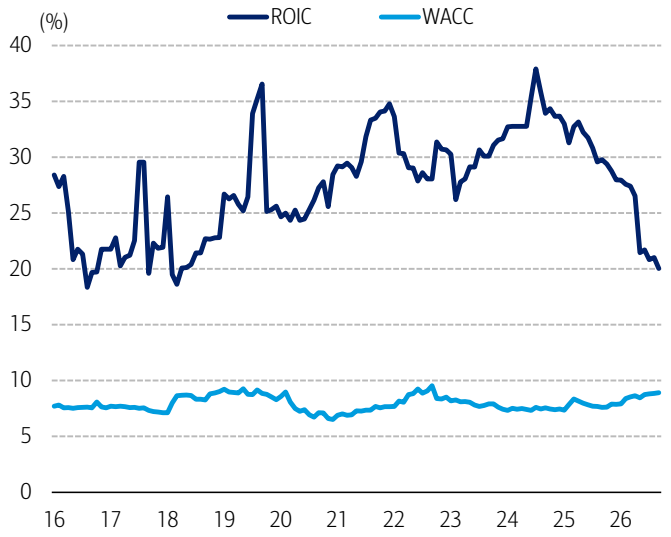
Exhibit 8: Hyperscalers FCF turn negative
12-month forward FCF yield and P/E of US hyperscalers



Source: BofA Global Research, LSEG, BofA Global Research
Note: I/B/E/S 12-month forward consensus estimates. Hyperscaler: MSFT, AMZN, GOOGL, META, ORCL

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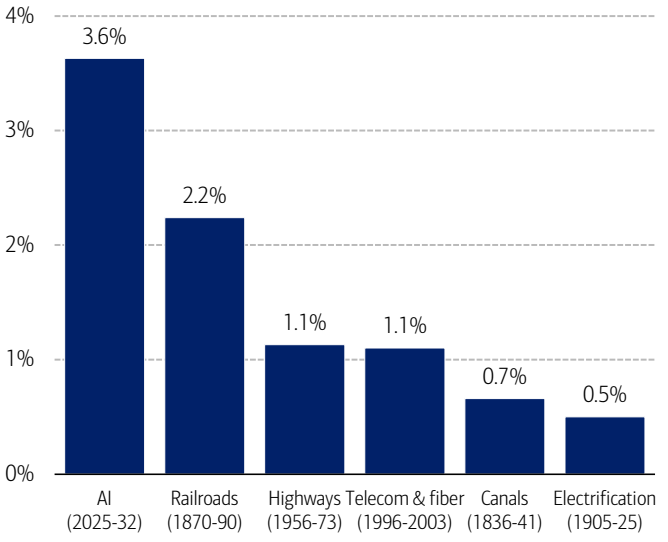
Exhibit 9: A wide gap still exists between hyperscalers' ROIC and WACC
Hyperscalers' ROIC and WACC



Source: LSEG, BofA Global Research
Note: ROIC is a 12-month forward forecast. Simple average of hyperscalers (MSFT, AMZN, GOOGL, META and ORCL).

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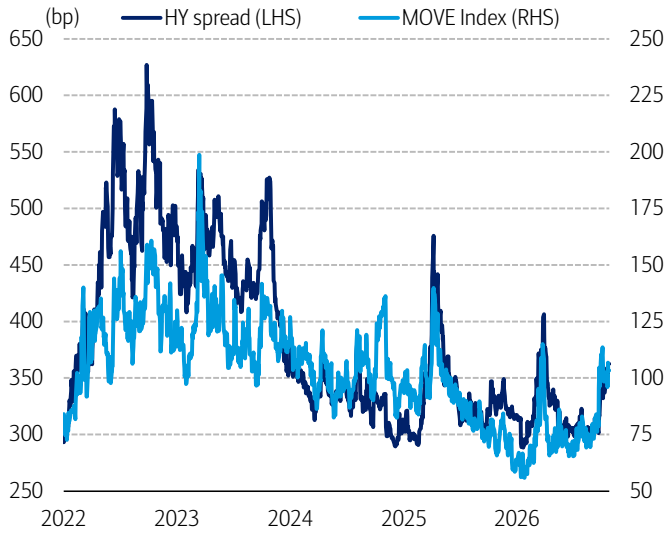
Exhibit 10: AI investment estimated at over 3% of GDP
US infrastructure investment as % of GDP (annualized, average)



Source: WSJ, BofA Global Research
Note: Based on WSJ estimates (23 Sep)

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Exhibit 11: Surge in US Treasury volatility drove a widening of the liquidity premium, leading to wider high-yield spreads
High-yield CDS spread and MOVE Index

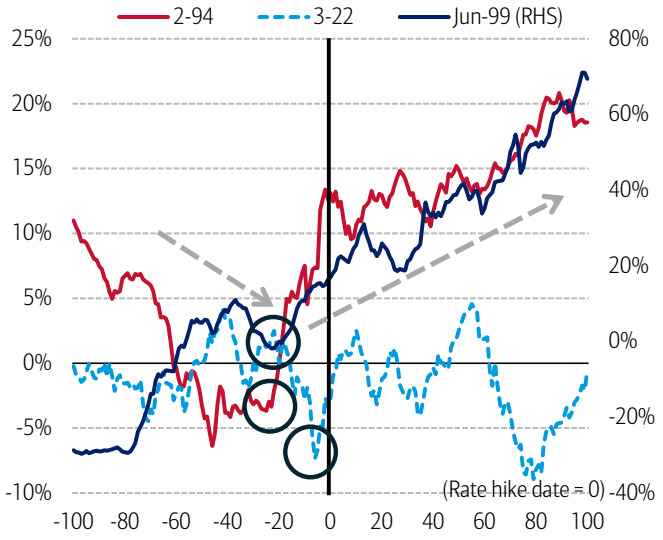


Source: QUICK, BofA Global Research
Note: HY: Makit CDX NA High Yield Index

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Notably, in every cycle since 1990, markets became volatile ahead of the Fed's first rate hike. Typically, the first hike was followed by a sense of relief (Exhibit 12), while a second round of turmoil occurred only when tighter financial conditions coincided with deteriorating economic conditions outside the US (Exhibit 13). We expected the former pattern this time, and high-beta stocks initially rallied following the hike. However, the subsequent emergence of credit concerns and shift toward the latter pattern were unexpected. In this sense, the current credit concerns can be traced back to the Fed's rate hike.

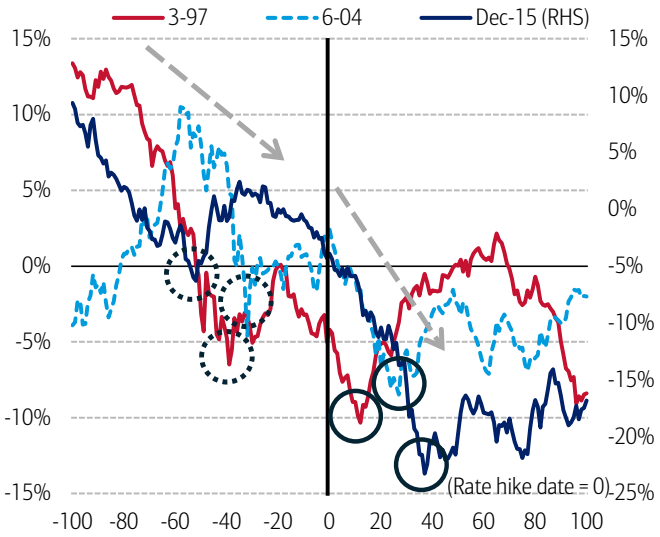
Exhibit 12: Markets were volatile ahead of the Fed's first rate hike
Beta factor returns around the Fed's first rate hike (beta typically rebounds after rate hike)



Source: Bloomberg, BofA Global Research
Note: Beta factor returns around the Fed's first rate hike since 1990. Returns are shown on a cumulative basis, with 20 trading days before the rate hike set to 0%. The legend indicates the month of the rate hike.

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Exhibit 13: Beta forms a double bottom after the Fed's first rate hike when economic conditions deteriorate
Beta factor returns around the Fed's first rate hike (double-bottom pattern after rate hike)



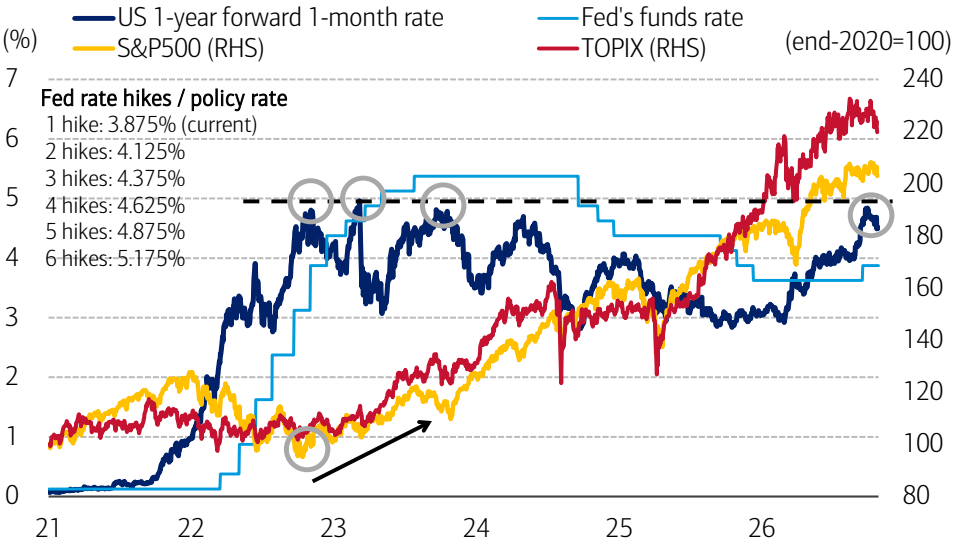
Source: Bloomberg, BofA Global Research
Note: Beta factor returns around the Fed's first rate hike since 1990. Returns are shown on a cumulative basis, with 20 trading days before the rate hike set to 0%. The legend indicates the month of the rate hike.

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November-December US economic data are key

A significant retreat in rate hike pricing is unlikely. However, we believe the excess portion of this could unwind. The 1-year forward 1-month US interest rate at one point had priced in a cumulative five rate hikes, but there was little evidence to justify this. Even after the recent turmoil, it still prices in 3.5 hikes (Exhibit 14). This level matches the ceiling of the 2022-23 rate hike cycle (when nominal GDP grew around 10% and the core PCE deflator ran at 5-6%).

Exhibit 14: Markets had priced in five Fed hikes (vs. 3.5 currently)
1-year forward 1-month US rate, Fed policy rate, S&P 500, TOPIX

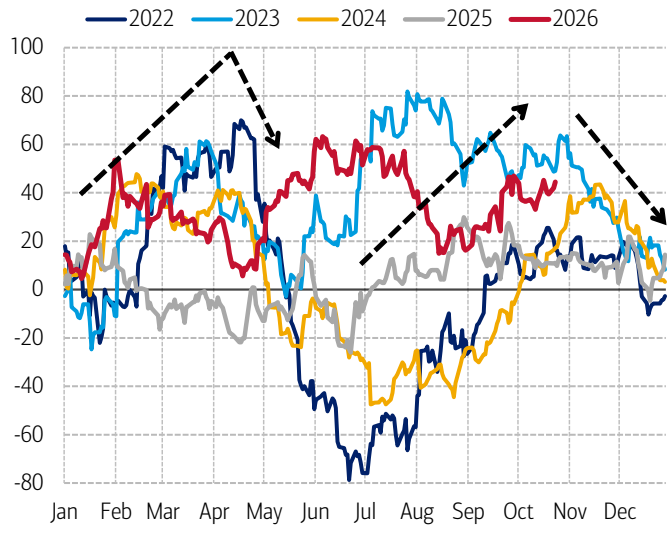


Source: Bloomberg, BofA Global Research

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As we have noted previously, economic data show a seasonal pattern of strengthening from summer to early autumn and weakening toward year-end (reflecting residual post-pandemic seasonal adjustment distortions; Exhibit 15). Inflation also tends to firm in 1H and settle toward year-end (Exhibit 16). If this pattern repeats this year, we expect interest rates to follow suit. Conversely, barring a full-scale collapse in the equity market, we find it difficult to envision a meaningful decline in interest rates unless economic data softened.

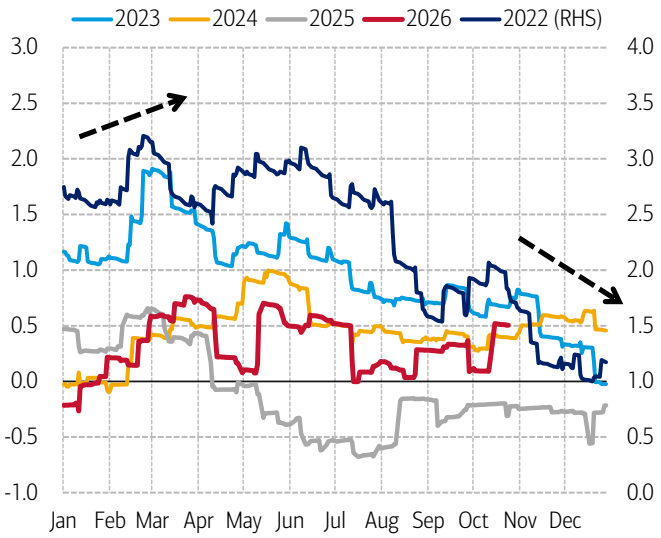
Exhibit 15: Economic data tend to strengthen from summer into early autumn, moderating toward year-end
Seasonality of US economic surprise index



Source: Bloomberg, BofA Global Research

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Exhibit 16: Inflation tends to strengthen in 1H, then ease toward year-end
Seasonality of the US Inflation Surprise Index

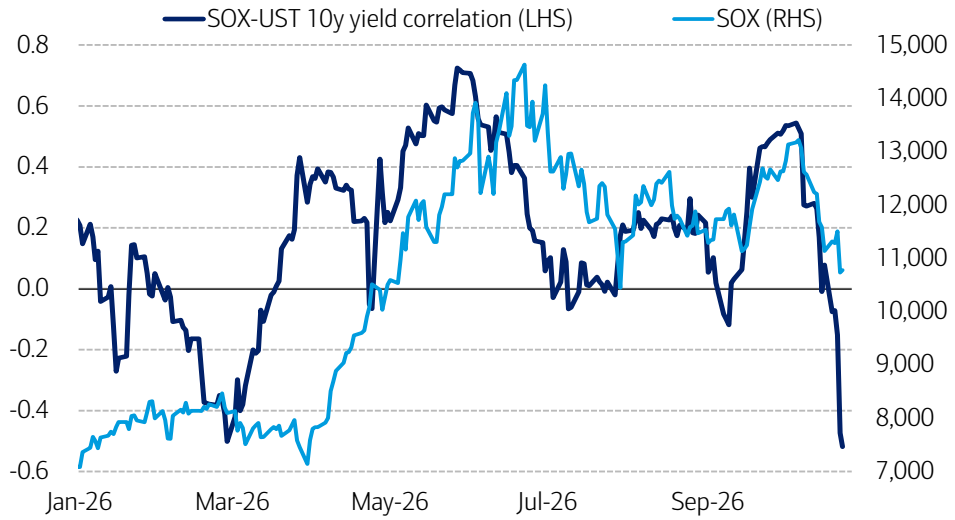


Source: Bloomberg, BofA Global Research

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The recent decline in the 10-year US Treasury yield reflects a "flight to quality" and is not a benign decline. The correlation between the SOX and the 10-year US Treasury yield has also fallen sharply (Exhibit 17). Expectations of Fed rate hikes have not receded sufficiently, and financial conditions have not eased.

Exhibit 17: US yield decline reflects a flight to quality on AI growth concerns
SOX-US 10Y yield correlation and SOX



Source: Bloomberg, BofA Global Research
Note: Correlation coefficient calculated on a 20-trading-day rolling basis

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US midterm elections: Avoid overestimating the impact

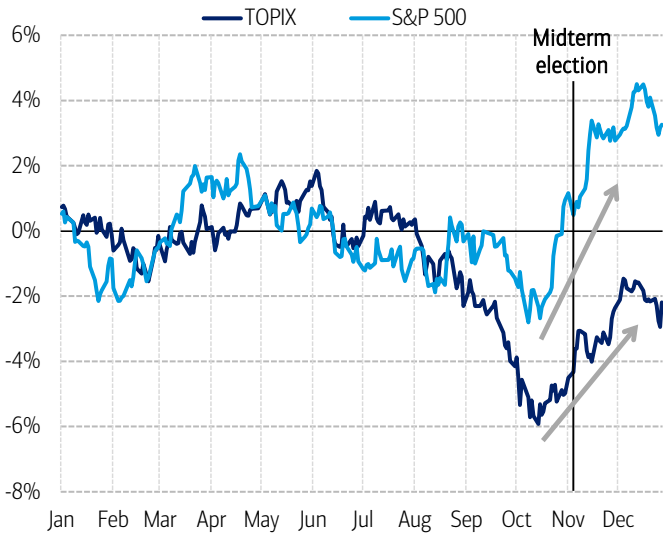
Next, the US midterm elections are also drawing strong attention. Considering the impact by outcome scenario, a Republican win of control in both the Senate and House would be positive for growth but would extend expansionary fiscal policy. Markets would view this as a driver of higher interest rates, which would not be an unqualified positive in the current market.

Conversely, a Democrat win would curb fiscal expansion, which we see as a driver of lower interest rates. If the Democrats win both chambers, DC investment regulation could tighten, but if they win control of only the House of Representatives, this concern would ease. In that sense, a Democrat win of only the House is the most benign outcome for the market.

That said, we would avoid overestimating the impact. As the presidency is not at stake, we do not expect major changes in government policy. In past midterm years, stocks have risen after the elections (Exhibit 18). Markets moved more on the removal of uncertainty than on the outcome itself. We expect the market to gradually recognize that the event has run its course after the elections.

Historically, US equities have performed best when the White House and Congress are divided (see our 28 September US Viewpoint report). US companies have a strong ability to generate profits in any environment. A divided presidency and Congress that reduces policy volatility is not necessarily a headwind.

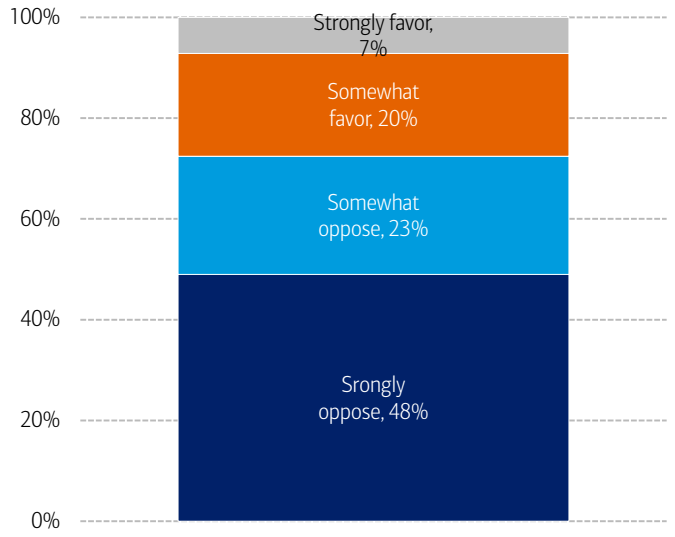
Exhibit 18: Stocks tend to rise after midterm elections
YTD performance of TOPIX and S&P 500 in US midterm election years



Source: QUICK, BofA Global Research
Note: Based on midterm elections since 1982

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Exhibit 19: Nearly 70% oppose data center development in their Area
Survey results on data center development



Source: Gallup, BofA Global Research
Note: Gallup survey conducted March 2–18.

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DC investment regulation concerns also partly overdone

Furthermore, although a Democrat win would likely lead to more DC investment regulation (see our 14 October Washington Matters report, Exhibit 19), we see no need for excessive concern. Regarding the negative impact of DC investment regulation, we see possible measures as (1) tighter regulation (curbs on passing higher electricity costs to households, environmental reviews, water use restrictions and a review of tax

incentives) and (2) wider use of moratoriums on DC construction at the state and local levels. (1) Tighter regulation would raise development costs, and (2) moratoriums would delay the start of funded projects.

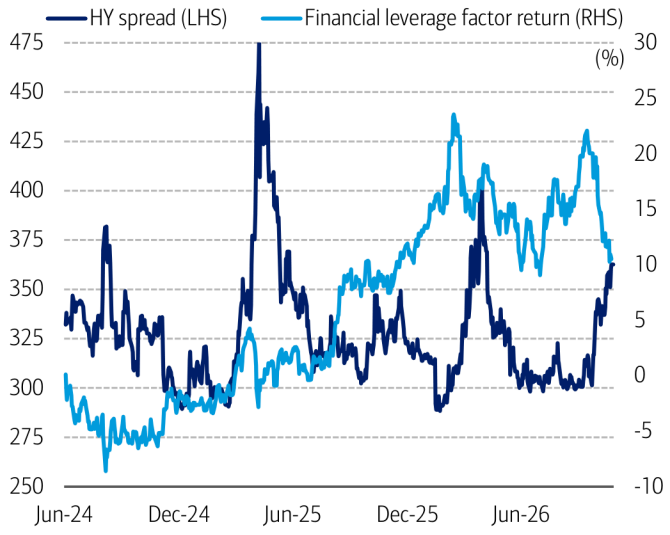
That said, hyperscalers are largely insensitive to rising DC investment costs. The passage of legislation that fully restricts DC investment is also unrealistic. Unless the Democrats win an overwhelming Senate majority, the president can exercise a veto. Democrats putting regulations on DC investment would slow investment momentum, but we find it difficult to envision it significantly reversing the direction of investment.

Overall, we believe the tide of markets may turn once the US midterm elections pass and if US economic data slow in early November. In that case, strong 2Q results would also provide a tailwind. However, slowing US economic data is merely a historical pattern, and whether it repeats this year is uncertain. If interest rates fail to decline and credit concerns persist, we cannot rule out a downside scenario for the market. As we noted above, the market is probably at a crossroads now.

Stock selection: A quality bias is essential

Finally, we summarize our take on stock selection. We prefer quality stocks while credit concerns persist. Since high-yield CDS spiked, financially vulnerable stocks have come under selling pressure (Exhibit 20). Meanwhile, the effectiveness of the accruals factor (stocks with earnings backed by cash flow have risen) suggests a "flight to quality" is dominating (Exhibit 21).

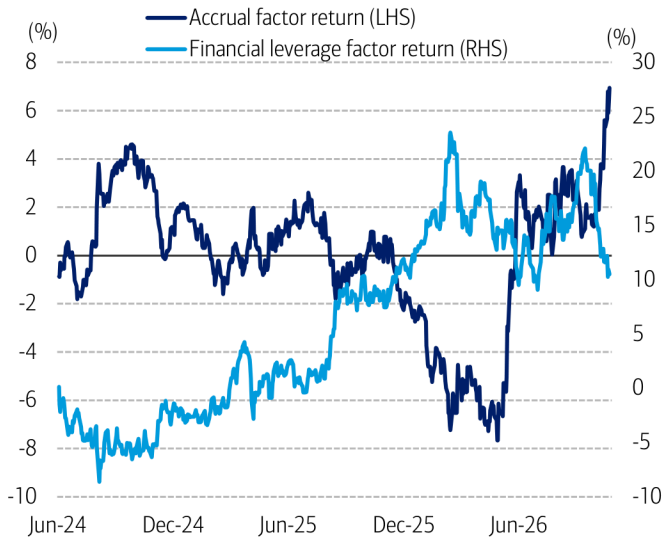
Exhibit 20: Financially vulnerable stocks have fallen since credit concerns emerged
High-yield CDS spread, financial leverage factor return



Source: QUICK, Bloomberg, BofA Global Research

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Exhibit 21: Quality preference is strengthening
Accrual and financial leverage factor returns



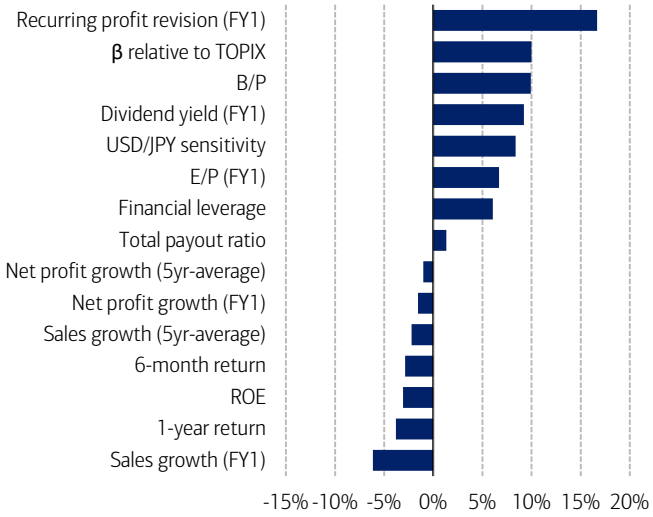
Source: QUICK, BofA Global Research

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As we have noted previously, beta, value and forex sensitivity are effective when the US yield curve steepens (Exhibit 22). In this cycle, the curve began steepening in 2H 2023, and high-beta AI stocks and value bank stocks led the market. Meanwhile, when the curve flattens, as it is now, beta and forex sensitivity become less effective, while earnings stability and quality, such as average profit growth and dividend yield, become more important (Exhibit 23).

Exhibit 22: Beta, value and FX sensitivity outperform during steepening periods

Average cumulative factor returns over 120 trading days following troughs in the US Treasury yield spread (10-year minus 2-year), marking the start of steepening

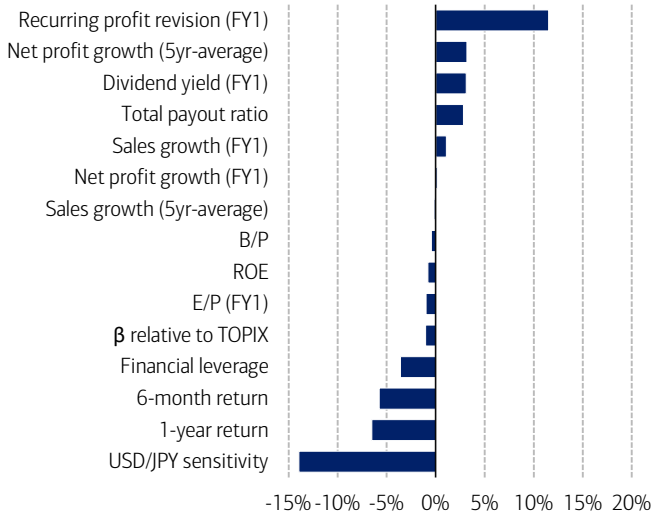


Source: QUICK, BofA Global Research
Note: Average cumulative factor returns over 120 trading days following troughs in the US Treasury yield spread (10-year minus 2-year) since 2003

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Exhibit 23: Stability and quality-based factors such as earnings metrics and dividend yield outperform during flattening phases

Average cumulative factor returns over 120 trading days following a peak in the US Treasury yield spread (10-year minus 2-year), marking the start of flattening



Source: QUICK, BofA Global Research
Note: Average cumulative factor returns over 120 trading days following peaks in the US Treasury yield spread (10-year minus 2-year) since 2003

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We believe a quality bias is essential across all sectors. By sector, this applies to IT services, internet, gaming, healthcare and retailers with high overseas sales ratios. These stocks would also probably look more attractive if the Democrats win the US midterm elections, leading to lower interest rates and greater benefits for the healthcare sector. We also maintain a selective holding stance on domestic demand sectors such as retail, services and food. The relative performance of defense and real estate/construction, which had been weak, also appears to be bottoming out.

Exhibit 24 highlights stocks with improving earnings revisions for both this fiscal year and next, ROE of at least 8%, beta below 1.5, and financial leverage below 2x. We expect these stocks to show some resilience in the current environment.

For reference, given that credit concerns have led to reduced expectations for BoJ rate hikes and lower JGB yields, Exhibit 25 lists stocks whose relative performance is negatively correlated with JGB yields, ranked by correlation coefficient in ascending order. The list is dominated by non-financial domestic demand sectors.

Exhibit 24: Solid earnings stocks with relatively high quality

Stocks with improving earnings revisions for both this fiscal year and next, ROE of at least 8%, beta below 1.5, and financial leverage below 2x

Code	Name	Sector	Market cap (bnJPY)	RP revision (%, FY1, vs.3m prior)	RP revision (%, FY2, vs.3m prior)	ROE (FY1, %)	TOPIX β (180 days)	Financial leverage	YTD relative return (%, vs.TOPIX)
6098	RECRUITHD	Services	28,235	20.2	24.7	44.6	0.6	1.8	99.5
6758	SONY G	Elec. App.	24,344	6.3	3.5	15.4	0.6	1.9	-15.8
6861	KEYENCE	Elec. App.	19,544	11.0	11.9	15.7	1.2	1.1	24.5
7974	NINTENDO	Other Prod.	11,198	11.9	1.2	14.2	0.3	1.3	-35.2
6752	PANASONICHD	Elec. App.	9,083	8.1	7.3	9.2	1.4	2.0	65.6
7741	HOYA	Prec. Inst.	8,833	4.7	5.9	27.1	0.8	1.3	-5.9
6702	FUJITSU	Elec. App.	7,956	1.2	0.7	14.8	0.5	1.7	-11.6
4578	OTSUKAHD	Pharm.	6,730	18.5	11.0	11.9	0.3	1.4	22.4
6301	KOMATSU	Machinery	6,310	8.4	8.7	11.1	1.3	1.8	18.4
4661	ORIENTAL LAND	Services	5,905	8.6	5.2	11.7	0.1	1.5	-4.1
5108	BRIDGESTONE	Rubber Prod.	5,158	3.6	4.0	9.8	0.6	1.6	-3.6
4503	ASTELLAS PHARMA	Pharm.	4,502	11.6	11.9	19.5	0.7	2.0	1.6
7832	BANDAI NAMCOHD	Other Prod.	4,096	13.9	14.2	17.6	0.3	1.4	35.0
9766	KONAMI G	Inf.&Com.	3,613	7.7	7.8	21.0	0.3	1.3	0.8
4452	KAO	Chemicals	3,398	3.5	2.5	12.8	0.2	1.8	2.4
9735	SECOM	Services	3,142	0.7	1.5	8.7	0.2	1.7	3.6
4684	OBIC	Inf.&Com.	2,920	1.6	1.7	16.4	0.1	1.2	3.3
6988	NITTO DENKO	Chemicals	2,460	4.5	5.0	12.5	0.8	1.3	-17.4
9697	CAPCOM	Inf.&Com.	2,352	3.8	5.5	22.2	0.2	1.3	3.6
3407	ASAHI KASEI	Chemicals	2,172	6.0	1.2	8.2	1.1	2.0	-2.8
6383	DAIFUKU	Machinery	1,976	6.1	8.6	18.5	1.5	1.7	-11.7
9843	NITORIHD	Retail Trade	1,899	5.3	6.3	9.0	0.1	1.6	3.8
7733	OLYMPUS	Prec. Inst.	1,876	6.6	2.6	12.5	0.6	1.9	-32.5
2801	KIKKOMAN	Foods	1,760	2.8	2.9	11.5	0.1	1.3	10.4
6532	BAYCURRENT	Services	1,719	1.1	1.4	39.8	0.4	1.3	58.7
4768	OTSUKA	Inf.&Com.	1,652	4.8	5.2	16.7	0.2	1.8	17.3
6586	MAKITA	Machinery	1,463	1.6	0.6	8.4	0.9	1.2	-6.9
9602	TOHO	Inf.&Com.	1,448	0.8	3.2	9.9	-0.2	1.4	-10.5
5334	NITERRA	Gl.&Cer.Prod	1,345	22.4	3.5	17.6	1.2	1.6	-19.3
4716	ORACLE JAPAN	Inf.&Com.	1,317	1.4	0.4	35.1	0.4	1.8	-39.5
3099	ISETAN MITSUKOSHIHD	Retail Trade	1,305	3.0	3.2	10.5	0.8	2.0	38.8
7701	SHIMADZU	Prec. Inst.	1,274	8.2	6.3	10.6	0.7	1.3	-14.0
4151	KYOWA KIRIN	Pharm.	1,269	4.7	6.1	9.0	0.6	1.2	-21.8
2269	MEIJIHD	Foods	1,240	3.5	3.7	8.3	0.1	1.6	8.8
2875	TOYO SUISAN	Foods	1,214	2.0	1.0	12.6	0.2	1.2	-15.4
6448	BROTHER INDUSTRIES	Elec. App.	1,206	41.3	22.4	13.1	0.7	1.3	37.0
6869	SYSMEX	Elec. App.	1,195	3.6	7.3	8.1	0.4	1.4	10.1
6841	YOKOGAWA ELECTRIC	Elec. App.	1,191	1.4	1.5	12.2	1.4	1.5	-24.9
3064	MONOTARO	Retail Trade	1,137	0.2	1.8	29.1	0.4	1.6	-25.6
9684	SQUARE ENIXHD	Inf.&Com.	1,113	13.4	15.1	11.2	0.4	1.3	-11.4
5101	YOKOHAMA RUBBER	Rubber Prod.	1,096	4.7	4.8	12.2	1.5	1.9	-7.8
3092	ZOZO	Retail Trade	1,096	0.2	0.1	49.0	0.1	1.9	-22.1
4021		Chemicals	1,082	7.1	7.4	21.7	1.1	1.4	32.4
3088	A	Retail Trade	1,065	0.8	0.4	10.9	0.0	1.4	-20.5
9962		Whsle Trade	1,056	20.6	25.7	12.2	1.3	1.2	34.0
1944	KINDEN	Construction	1,053	2.8	2.3	12.4	1.1	1.4	-24.2
1942	KANDENKO	Construction	1,048	1.9	1.3	17.6	1.2	1.6	-15.8
4204	SEKISUI CHEMICAL	Chemicals	1,043	0.6	0.7	9.0	0.6	1.7	-19.6
3626	TISI	Inf.&Com.	958	1.0	0.8	17.6	0.1	1.7	-32.4
6856	HORIBA	Elec. App.	945	9.7	12.2	14.5	1.5	1.5	23.0
2897	NISSIN FOODSHD	Foods	912	0.8	0.6	9.4	0.1	1.9	-12.0
4732	USS	Services	852	2.5	2.7	21.5	0.2	1.3	-12.6
6370	KURITA WATER INDUSTRIES	Machinery	820	7.2	3.6	14.2	1.3	1.7	-6.1
6806	HIROSE ELECTRIC	Elec. App.	815	6.9	5.5	10.1	1.2	1.1	19.2
6465	HOSHIZAKI	Machinery	786	0.5	2.5	10.6	0.6	1.5	-13.1
5444	YAMATO KOGYO	Iron & Steel	759	12.1	12.2	10.9	0.8	1.2	-2.7
2371	KAKAKU.COM	Services	745	0.9	1.8	31.6	0.2	1.4	45.4
2670	ABC-MART	Retail Trade	740	2.5	3.5	12.1	0.0	1.1	-4.8
8227	SHIMAMURA	Retail Trade	731	1.2	1.4	9.7	0.1	1.1	-20.4
6460	SEGA SAMMYHD	Machinery	725	5.5	2.3	10.3	0.1	1.8	21.5
4733	OBIC BUSINESS CONSULTANTS	Inf.&Com.	710	2.9	7.1	11.9	0.1	1.3	-5.9
4203	SUMITOMO BAKELITE	Chemicals	687	21.3	22.0	10.5	1.4	1.4	33.6
4527	ROHTO PHARMACEUTICAL	Pharm.	673	2.8	3.6	11.6	0.2	1.6	-8.8
1721	COMSYSHD	Construction	662	3.4	3.2	9.9	0.7	1.4	5.9
5393	NICHIAS	Gl.&Cer.Prod	630	8.6	9.0	14.6	1.2	1.3	28.8

Source: QUICK, BofA Global Research

Note: Screened from the TOPIX universe based on the following criteria: (1) market cap of at least 600bnY; (2) current- and next-fiscal-year recurring profit revisions (vs. three months ago) of 0% or higher; (3) ROE of at least 8% for both the current and next fiscal years; (4) beta below 1.5; and (5) financial leverage below 2x. Forecasts are based on QUICK consensus estimates. Stocks are ranked by market capitalization in descending order. This is a screen and not a recommended list either individually or as a group of stocks and options. Investors should consider the fundamentals of the companies and their own individual circumstances / objectives before making any investment decisions.

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Exhibit 25: Stocks negatively correlated with 10Y JGB yields (ascending correlation)
Stocks with improving earnings revisions for FY1/FY2, USD/JPY sensitivity below 0.7, and negative correlation with 10Y JGB yields

Code	Name	Sector	Market cap (bnJPY)	RP revision (%, FY1, vs.3m prior)	RP revision (%, FY2, vs.3m prior)	ROE (FY1, %)	10-year JGB yield correlation coefficient	YTD relative return (%, vs.TOPIX)
6532	BAYCURRENT	Services	1,719	1.1	1.4	39.8	-0.35	58.7
3092	ZOZO	Retail Trade	1,096	0.2	0.1	49.0	-0.26	-22.1
9020	EAST JAPAN RAILWAY	Land Trans.	4,161	1.6	0.4	8.7	-0.14	-28.5
9143	SG HD	Land Trans.	959	2.4	1.7	11.4	-0.13	-12.8
4506	SUMITOMO PHARMA	Pharm.	855	6.6	0.1	28.4	-0.13	-35.1
9021	WEST JAPAN RAILWAY	Land Trans.	1,414	2.5	2.8	8.5	-0.13	-18.0
9684	SQUARE ENIX HD	Inf.&Com.	1,113	13.4	15.1	11.2	-0.12	-11.4
9022	CENTRAL JAPAN RAILWAY	Land Trans.	3,902	0.7	0.2	9.4	-0.10	-26.9
9843	NITORI HD	Retail Trade	1,899	5.3	6.3	9.0	-0.10	3.8
4091	NIPPON SANSO HD	Chemicals	2,356	2.8	1.0	11.3	-0.09	-0.7
4689	LY	Inf.&Com.	3,601	7.3	9.5	6.6	-0.09	8.0
9503	KANSAI ELECTRIC POWER	Elec.Pwr&Gas	3,054	8.7	29.4	9.8	-0.09	-5.7
2269	MEIJI HD	Foods	1,240	3.5	3.7	8.3	-0.09	8.8
4578		Pharm.	6,730	18.5	11.0	11.9	-0.09	22.4
3088	A	Retail Trade	1,065	0.8	0.4	10.9	-0.09	-20.5
7832		Other Prod.	4,096	13.9	14.2	17.6	-0.08	35.0
3626	TISI	Inf.&Com.	958	1.0	0.8	17.6	-0.08	-32.4
4661	ORIENTAL LAND	Services	5,905	8.6	5.2	11.7	-0.08	-4.1
9532	OSAKA GAS	Elec.Pwr&Gas	2,218	3.9	3.5	7.9	-0.08	-10.7
4528	ONO PHARMACEUTICAL	Pharm.	1,255	6.8	2.8	8.7	-0.08	-1.4
4151	KYOWA KIRIN	Pharm.	1,269	4.7	6.1	9.0	-0.07	-21.8
1878	DAITO TRUST CONSTRUCTION	Real Estate	1,110	0.9	2.1	21.0	-0.07	-9.4
9202	ANA HD	Air Trans.	1,526	4.2	4.0	7.8	-0.07	-19.6
9602	TOHO	Inf.&Com.	1,448	0.8	3.2	9.9	-0.07	-10.5
4452	KAO	Chemicals	3,398	3.5	2.5	12.8	-0.07	2.4
3382	SEVEN & I HD	Retail Trade	4,915	4.5	3.2	7.9	-0.07	-23.1
5108	BRIDGESTONE	Rubber Prod.	5,158	3.6	4.0	9.8	-0.06	-3.6
2897	NISSIN FOODS HD	Foods	912	0.8	0.6	9.4	-0.06	-12.0
3563	FOOD & LIFE COMPANIES	Retail Trade	1,341	2.4	7.4	29.4	-0.06	28.8
9766	KONAMI GROUP	Inf.&Com.	3,613	7.7	7.8	21.0	-0.06	0.8
7701	SHIMADZU	Prec. Inst.	1,274	8.2	6.3	10.6	-0.06	-14.0
9042	HANKYU HANSHIN HD	Land Trans.	1,159	0.8	0.3	7.3	-0.05	-0.3
1942	KANDENKO	Construction	1,048	1.9	1.3	17.6	-0.05	-15.8
4503	ASTELLAS PHARMA	Pharm.	4,502	11.6	11.9	19.5	-0.05	1.6
7276	KOITO MFG.	Elec. App.	813	2.7	2.7	7.7	-0.05	-3.0
6861	KEYENCE	Elec. App.	19,544	11.0	11.9	15.7	-0.04	24.5
3064	MONOTARO	Retail Trade	1,137	0.2	1.8	29.1	-0.04	-25.6
7741	HOYA	Prec. Inst.	8,833	4.7	5.9	27.1	-0.04	-5.9
4307	NOMURA RESEARCH INSTITUTE	Inf.&Com.	3,477	0.3	0.5	28.1	-0.04	-14.4
6724	SEIKO EPSON	Elec. App.	1,241	19.4	10.7	8.1	-0.04	50.3
4732	USS	Services	852	2.5	2.7	21.5	-0.04	-12.6
4768	OTSUKA	Inf.&Com.	1,652	4.8	5.2	16.7	-0.04	17.3
4911	SHISEIDO	Chemicals	1,428	8.6	5.2	7.3	-0.04	39.4
7912	DAI NIPPON PRINTING	Other Prod.	1,288	3.4	3.0	7.7	-0.04	-8.4
7733	OLYMPUS	Prec. Inst.	1,876	6.6	2.6	12.5	-0.03	-32.5
6869	SYSMEX	Elec. App.	1,195	3.6	7.3	8.1	-0.03	10.1
2914	JAPAN TOBACCO	Foods	14,962	7.6	6.1	15.8	-0.03	15.4
4684	OBIC	Inf.&Com.	2,920	1.6	1.7	16.4	-0.03	3.3
3289	TOKYU FUDOSAN HD	Real Estate	867	1.8	1.6	11.1	-0.03	-32.9
9735	SECOM	Services	3,142	0.7	1.5	8.7	-0.02	3.6
6856	HORIBA	Elec. App.	945	9.7	12.2	14.5	-0.02	23.0
9432	NTT	Inf.&Com.	16,127	1.2	1.5	10.5	-0.02	-4.3
4612	NIPPON PAINT HD	Chemicals	2,961	1.1	1.9	10.4	-0.02	2.0
5101	YOKOHAMA RUBBER	Rubber Prod.	1,096	4.7	4.8	12.2	-0.02	-7.8
3003	HULIC	Real Estate	1,342	0.8	1.3	13.2	-0.01	-15.3
1801	TAISEI	Construction	1,823	1.2	1.6	17.3	-0.01	-42.0
9697	CAPCOM	Inf.&Com.	2,352	3.8	5.5	22.2	-0.01	3.6
9201	JAPAN AIRLINES	Air Trans.	1,365	4.6	3.9	6.9	-0.01	-14.5
7936	ASICS	Other Prod.	3,430	7.8	7.8	44.5	-0.01	11.5
1803	SHIMIZU	Construction	1,441	21.8	0.1	17.1	-0.01	-41.9
7974	NINTENDO	Other Prod.	11,198	11.9	1.2	14.2	-0.01	-35.2
6586	MAKITA	Machinery	1,463	1.6	0.6	8.4	-0.01	-6.9
9101	NIPPON YUSEN	Marine Trans	2,945	53.2	22.6	8.9	-0.00	25.8
8802	MITSUBISHI ESTATE	Real Estate	4,571	1.9	0.4	9.0	-0.00	-18.5
7735	SCREEN HD	Elec. App.	2,245	1.8	10.7	23.1	-0.00	37.2

Source: QUICK, BofA Global Research

Note: Screened from the TOPIX universe based on the following criteria: (1) market capitalization of at least JPY600bn; (2) current- and next-fiscal-year recurring profit revisions (vs. three months ago) of 0% or higher; (3) FY1 ROE of at least 6%; (4) beta below 2; (5) USD/JPY sensitivity of relative performance (vs. TOPIX) below 0.7; and (6) negative correlation between relative performance (vs. TOPIX) and 10Y JGB yields over the past 30 years. Forecasts are based on QUICK consensus estimates. Stocks are ranked by correlation with 10Y JGB yields in ascending order. This is a screen and not a recommended list either individually or as a group of stocks and options. Investors should consider the fundamentals of the companies and their own individual circumstances / objectives before making any investment decisions.

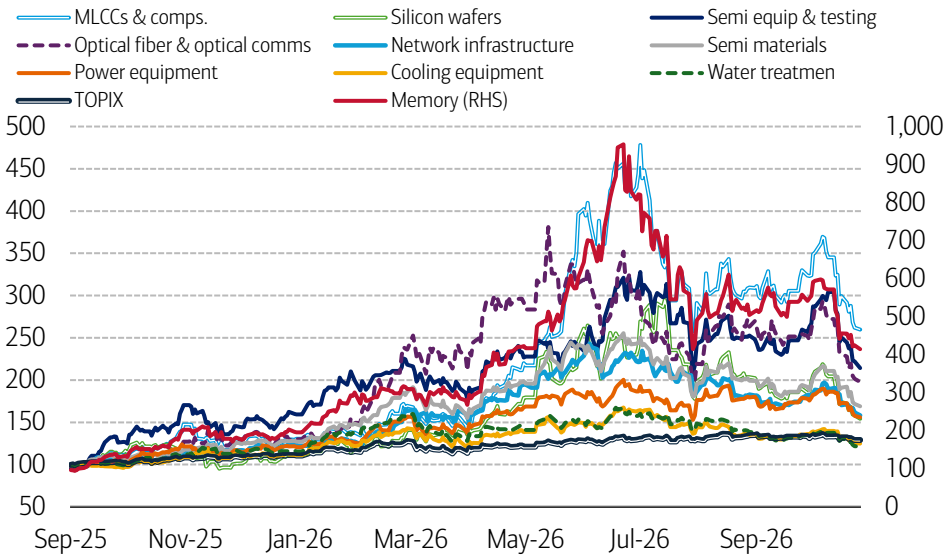
BofA GLOBAL RESEARCH

If credit concerns recede: AI stocks and bank stocks

Meanwhile, if slowing economic data weakens expectations of Fed rate hikes, we expect the yield curve to steepen (perhaps temporarily). In this case, opportunities would also emerge for high-beta AI stocks and value bank stocks. These are the sectors on which we receive the most questions from investors. If credit concerns recede, we expect heavily sold large-cap stocks to rebound.

That said, stock selection is still necessary. For AI stocks, if the Democrats call for stronger DC investment regulations, volatility will likely rise for stocks with high price-increase expectations that led the market in the April-June quarter (memory, MLCCs/electronic components and silicon wafers, for example). Criticism that DCs drive up electricity prices and cause water pollution also remains strong. Power-saving and water treatment-related stocks may attract attention. By subsector, we prefer infrastructure-related stocks with lower cyclicality and lagging performance (telecom infrastructure, power equipment, cooling systems and water treatment; Exhibit 26).

Exhibit 26: Infrastructure-related stocks have lagged
AI subsector performance



Source: Bloomberg, BofA Global Research
Note: Normalized to 100 at end-August 2025, based on the equally weighted average stock prices of the following companies (limited to those with market cap of at least JPY 400 billion).
MLCCs & comps.: Murata Manufacturing (6981), Taiyo Yuden (6976), TDK (6762), Ibiden (4062)
Silicon wafers: Shin-Etsu Chemical (4063), SUMCO (3436)
Semi equip & testing: Tokyo Electron (8035), Advantest (6857), Disco (6146), Lasertec (6920), KOKUSAI ELECTRIC (6525)
Optical fiber & optical comms: Fujikura (5803), Furukawa Electric (5801), Sumitomo Electric (5802), SWCC (5805)
Network infrastructure (Optical components, connectors, and test equipment): Hamamatsu Photonics (6965), Kyocera (6971), Hirose Electric (6806), Alps Alpine (6770), Anritsu (6754), Rigaku Holdings (268A)
Semi materials: Resonac Holdings (4004), Tokyo Ohka Kogyo (4186), Mitsubichi Gas Chemical (4182), MARUWA (5344), ADEKA (4401), NGK (5333), Niterra (5334)
Power equipment (data center power infrastructure, transformers, transmission & distribution networks, substation equipment, and UPS systems): DAIHEN (6622), Meidensha (6508), Fuji Electric (6504), Mitsubishi Electric (6503), Hitachi (6501), Panasonic Holdings (6752), GS Yuasa (6674)
Cooling equipment: Ebara (6361), Daikin Industries (6367), Takasago Thermal Engineering (1969), Nichias (5393)
Water treatment: Organo (6368), Kurita Water Industries (6370), Ebara (6361), Toray Industries (3402), Asahi Kasei (3407)
Memory: Kioxia Holdings (285A)

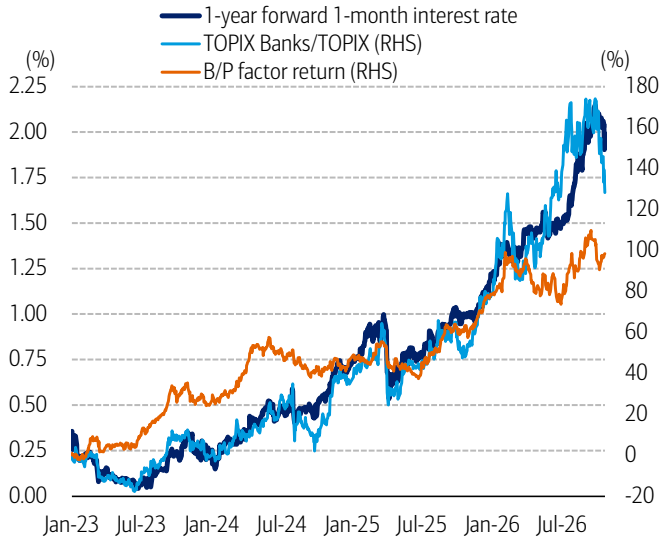
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For bank stocks, long-only investors generally maintain holdings, while hedge funds expect relative performance to peak. In the latter view, bank stocks are already pricing in BoJ rate hikes up to 2% (Exhibit 27). More recently, selling pressure intensified amid

rising credit concerns. More investors prefer megabanks with solid business foundations over regional banks with high interest rate sensitivity.

However, the BoJ policy rate is still only 1.25%. Banks have significant room for earnings improvement, and positioning has likely lightened as a result of the above view. Given that value reversals typically occur in December when market participation declines (Exhibit 28), we believe a rebound around that time is possible.

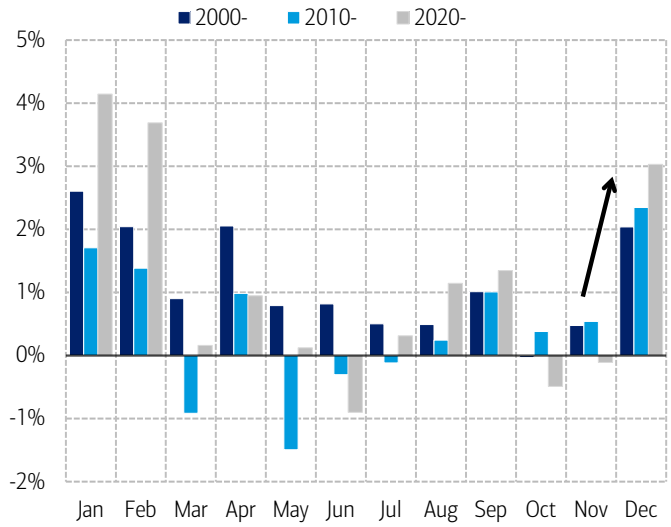
Exhibit 27: Bank stocks appear to be pricing in BoJ rate hikes to 2%
1-year forward 1-month interest rate, TOPIX Banks/TOPIX and B/P factor returns



Source: Bloomberg, BofA Global Research

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Exhibit 28: Value reversals tend to occur in December
Seasonality of B/P factor returns



Source: QUICK, BofA Global Research
Note: Monthly B/P factor returns are averaged over each period.

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Disclosures

Important Disclosures

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Investment rating	Total return expectation (within 12-month period of date of initial rating)	Ratings dispersion guidelines for coverage cluster[R1]
Buy	≥ 10%	≤ 70%
Neutral	≥ 0%	≤ 30%
Underperform	N/A	≥ 20%

[R1]Ratings dispersions may vary from time to time where BofA Global Research believes it better reflects the investment prospects of stocks in a Coverage Cluster.

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